

Options Greeks Simplified

Delta, theta, gamma, and vega explained in plain English with real examples.

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The Greeks are measurements that tell you how an option price will change in response to different factors — stock price movement, time passing, and volatility changes. You do not need to calculate them. You need to understand what they mean for your trade.

DELTA

How Much the Option Moves

Delta measures how much your option price changes for every \$1 move in the stock. A delta of 0.50 means if the stock moves \$1, your option moves \$0.50. At-the-money options have a delta of roughly 0.50. Deep in-the-money options approach 1.0. Deep out-of-the-money options approach 0.

THETA

Time Decay

Theta is the amount your option loses in value each day from time passing, all else equal. If theta is -0.05, your option loses \$5 per day per contract just from the clock ticking. Time decay accelerates as expiration approaches — this is why buying ODTE options is extremely risky.

GAMMA

Rate of Change of Delta

Gamma measures how fast delta changes as the stock moves. High gamma means your delta is changing rapidly — most pronounced near expiration and at-the-money. High gamma amplifies both gains and losses. This is why ODTE options can double or go to zero in minutes.

VEGA

Sensitivity to Volatility

Vega measures how much your option price changes when implied volatility changes. If vega is 0.10 and IV increases by 1%, your option gains \$10 per contract. Buying options before earnings when IV is high then selling after when IV collapses is called an IV crush — it destroys call buyers who were right on direction.

PRACTICAL RULES FOR OPTIONS BUYERS

- Delta: buy options with enough delta to actually participate in the move.
- Theta: time is always working against you as a buyer — the move needs to happen.
- Gamma: high gamma near expiration means fast gains but also fast losses.
- Vega: do not buy options when IV is extremely high — you are overpaying.
- Never buy options into earnings without understanding IV crush risk.
- Slow-moving stocks destroy option value through theta — options need volatility.